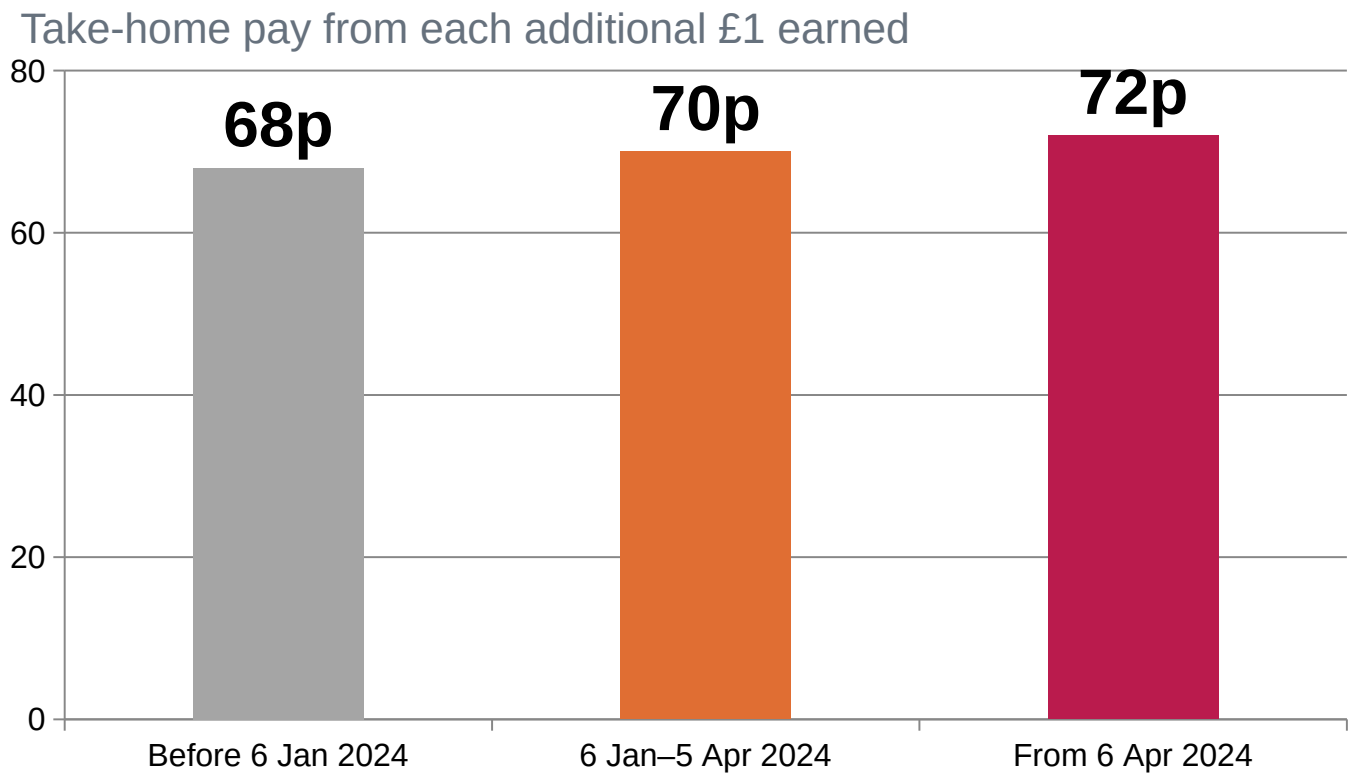
Lower NICs increase the reward from extra work



+5.9%

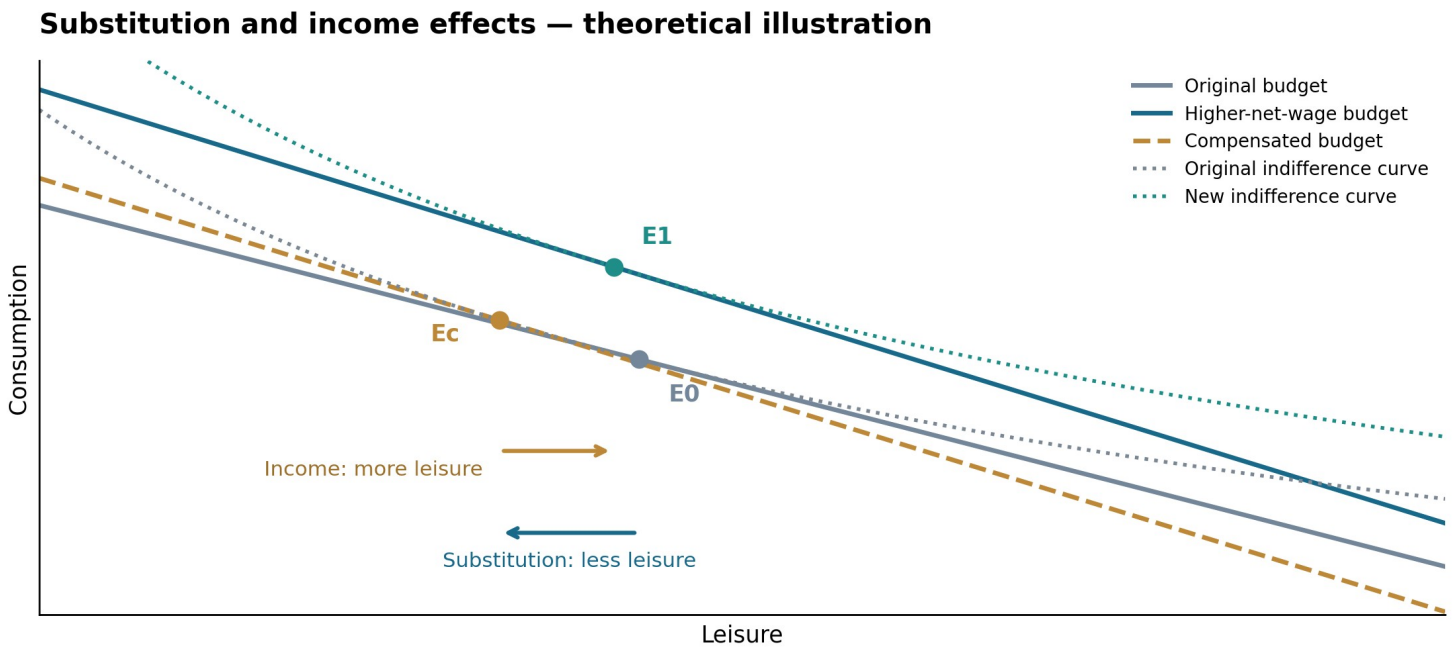
Higher marginal take-home pay

(72 − 68) ÷ 68 × 100

NICs main rate: 12% → 10% → 8%

Source: Author's calculations using HMRC (2024) rates. Income tax held at 20%; main NICs band; other deductions excluded.

Two effects shape the labour-supply response



SUBSTITUTION EFFECT

Higher net wage

→ more work

INCOME EFFECT

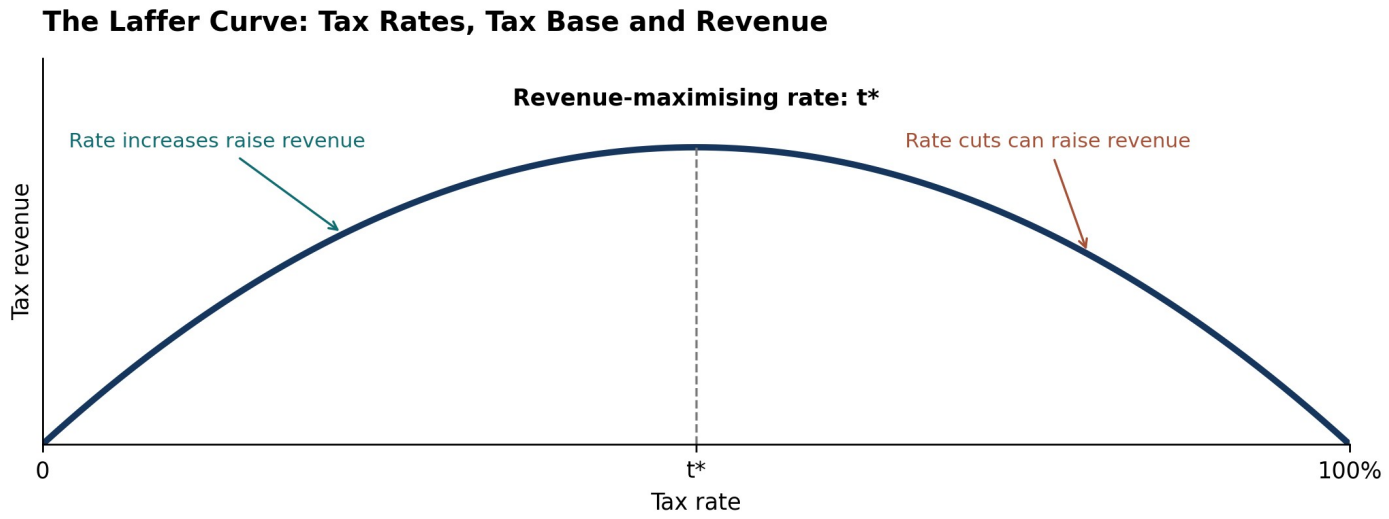
Higher income

→ more leisure

Two margins: entering employment | adjusting working hours

Source: Meghir and Phillips (2010). Author's theoretical illustration.

Behavioural gains can partly recover the fiscal cost



OBR FORECAST

98,000 FTEs

Additional labour supply

≈20%

of static fiscal cost recovered

Revenue = tax rate × taxable base

Stronger work incentives + sustainable financing

Sources: Hemming and Kay (1980); OBR (2024), paras. 3.9–3.10. March 2024 measures; projected effects.